Islands of Java, Sumatra, and the Spice Islands where spices were produced. They soon turned out the Portuguese from the Malay Straits and the Indonesian Islands and, in 1623, defeated English attempts to establish themselves there. They also established trading depots at Surat, Broach, Cambay and Ahmedabad in Gujarat in west India, Cochin in Kerala, Nagapatam in Madras, Masulipatam in Andhra, Chinsura in Bengal, Patna in Bihar and Agra in Uttar Pradesh. In 1658 they also conquered Sri Lanka from the Portuguese.

The English merchants looked greedily at the Asian trade. The success of the Portuguese, the rich cargoes of spices, calicoes, silk, gold, pearls, drugs, porcelain, and ebony they carried and the high profits they made inflamed the imagination of the merchants of England and made them impatient to participate in such profitable commerce. An English association or company to trade with the East was formed in 1599 under the auspices of a group of merchants known as the Merchant Adventurers. The company, popularly known as the East India Company, was granted a royal charter and the exclusive privilege to trade in the East by Queen Elizabeth on 31 December 1600. In 1608 it decided to open a 'factory', the name given at the time to a trading depot, at Surat on the west coast of India and sent Captain Hawkins to Jahangir's court to obtain royal favours. Consequently, the English Company was given permission by a royal *farman* to open factories at several places on the west coast.